

PoliceTax

12 Facts that Police Officers must know about how to legally maximise their tax refund.

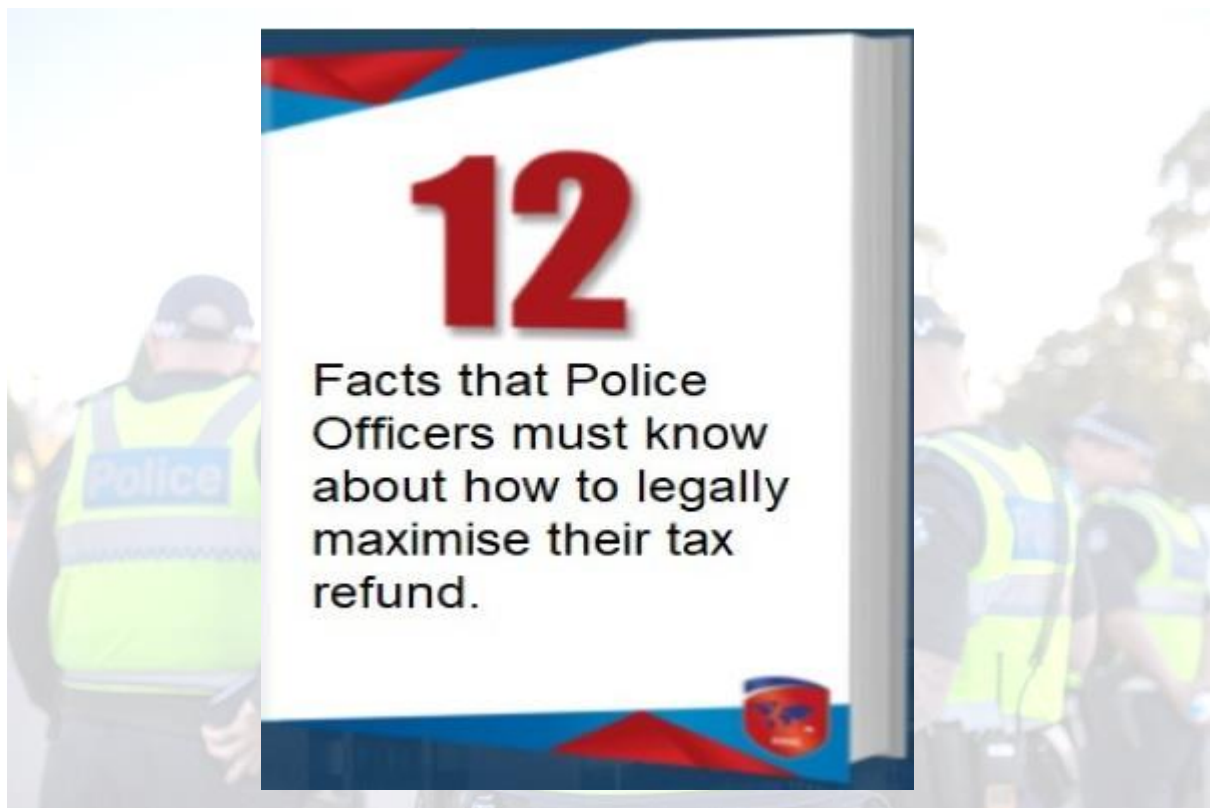
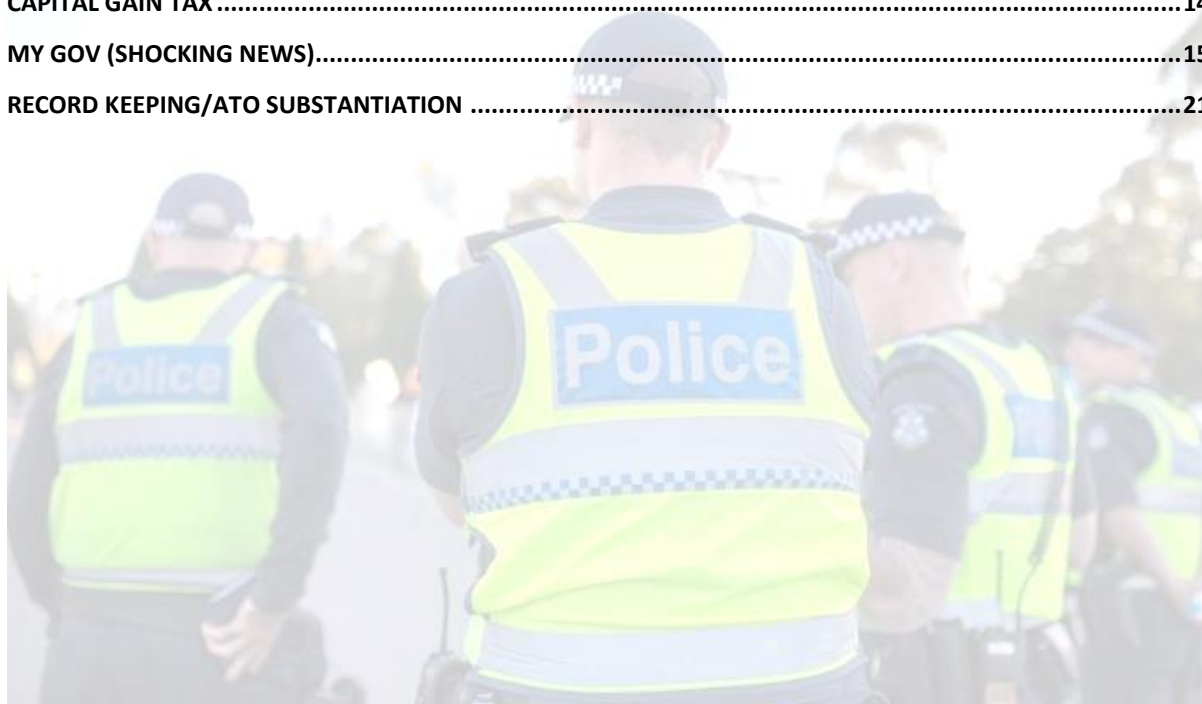


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Start

Getting your tax right.

Officers, it's tax time again so here's our guide to what you can and can't claim in your 2019 tax return, and tips to make lodging your tax on time a breeze.

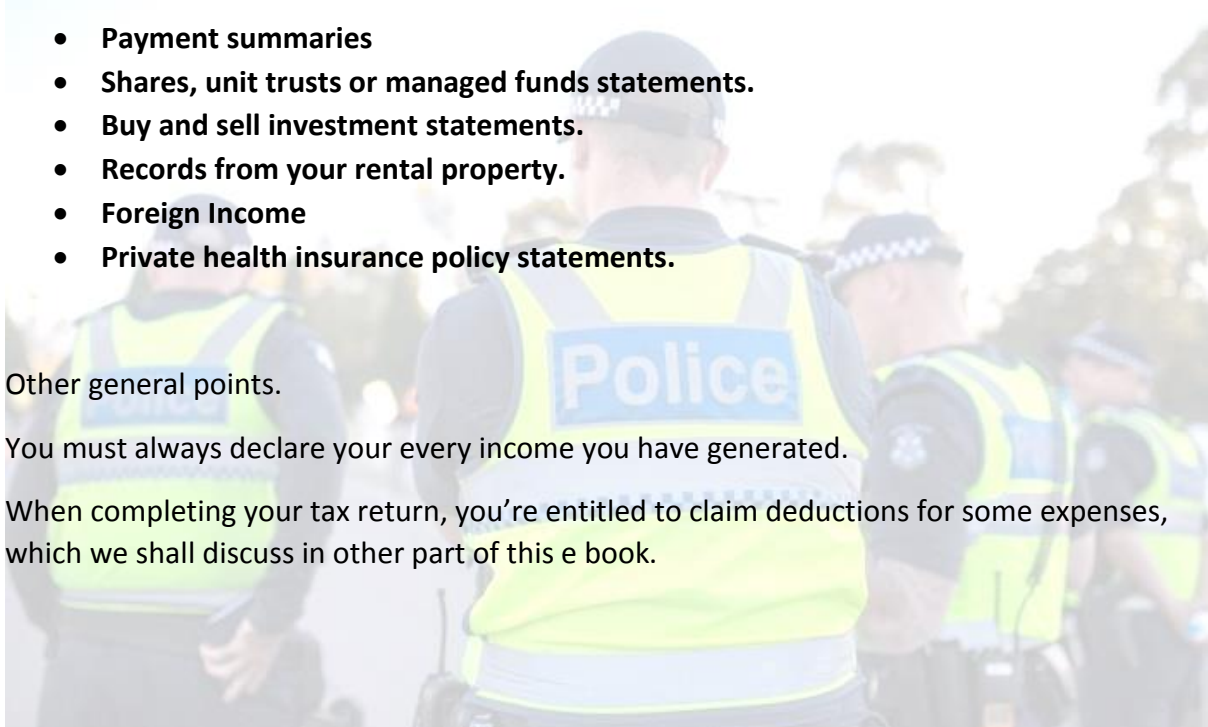
Before you sit down to do your tax, you'll need to gather all the right information. Here are some of the documents you'll need to complete your tax return.

- **Payment summaries**
- **Shares, unit trusts or managed funds statements.**
- **Buy and sell investment statements.**
- **Records from your rental property.**
- **Foreign Income**
- **Private health insurance policy statements.**

Other general points.

You must always declare your every income you have generated.

When completing your tax return, you're entitled to claim deductions for some expenses, which we shall discuss in other part of this e book.



Tax Rates

The below table shows current year tax rates. The higher the income the higher the tax rates.

What tax bracket are you in, and what does that really mean?

Your tax bracket roughly speaking, is the tax rate you pay on your highest dollar of taxable income.

Resident tax rates 2018–19

Taxable income	Tax on this income
0 – \$18,200	Nil
\$18,201 – \$37,000	19c for each \$1 over \$18,200
\$37,001 – \$90,000	\$3,572 plus 32.5c for each \$1 over \$37,000
\$90,001 – \$180,000	\$20,797 plus 37c for each \$1 over \$90,000
\$180,001 and over	\$54,097 plus 45c for each \$1 over \$180,000

The above rates **do not** include the Medicare levy of 2%.

The above rates include changes announced in the 2018-19 Federal Budget.

Your tax bracket is *not* the tax rate you pay on all of your income after adjustments, deductions, and exemptions.

Your tax bracket only determines your individual income tax rates for each additional dollar of income.

Tax Deduction Checklist

The following is our checklist specially for police officers which will help you get ready for the interview before the appointment with us.

<u>D1: Car Expenses</u>	<u>D5: Other Expenses</u>	Work-related telephone calls.
Set Rate per Km (Preferred Method)	Informant Expenses	repairs to work tools and equipment
Log Book Method (Not Preferred)	Insurance of Tools and equipment's	Union and professional association fees.
<u>D2: Travel Expenses</u>	Physical Training clothes	Short Training courses
Tolls and Car parking	Pistol Club Membership Fees	Subscription
Travel between different stations	Watches with specific characteristics	Publications
<u>D3: Uniform Expenses</u>	Police Citizens Youth Welfare Association	Telephones and other telecommunications
Bulletproof jackets or body armour.	Police dog maintenance	Silent telephone number
Gauntlets, holsters, handcuffs, safety glasses, etc	police Legacy scheme donations	Installation and connection
Sunglasses, hats and sunscreen	electronic organisers	Binoculars
Clothing's and uniform	laptops	Business Cards, Rubber Stamps
Footwear, repairs hats beanies gloves and tactical pants, sunscreen and wet weather gear	desktop computers and tools.	Duty bags
Key holders	Software's	Gun range
Hand cuffs	Additional ammunition	Key holders
Emblems	First Aid training course	First Aid kits
Raingear	Fitness expenses,	iPad, Tablets, USB and Hard Drives
Polish	Guns and related equipment	cameras < \$300
Protective Eye wears	Renewal licences & certificates relating to work.	Flash Lights and Batteries
Toiletries	Overtime meals	Gear Bank
Gauntlets, Holsters, Hand Grips, Handcuffs, Holders, Pouches, Utility Belts, Etc.	Police Academy training courses.	Knife/Utility Tools
<u>D4: Self Education</u>	Technical publications	Bank Fees

Heat, light, power and Desks/ Chairs	Police Association	Depreciation of Tools and Equipment's
Professional library i.e. textbooks, references	Police Journal	Equestrian Related Equipment's
Seminars, conferences and training.	Medical examination	Gun Cleaning Materials



Hot Tax Tips

Keeping the right records.

- You must have evidence of your income and expenses so you can claim everything you are entitled to.

Make sure your property is genuinely available for rent

- Your property must be genuinely available for rent to claim a tax deduction.

Getting initial repairs and capital improvement right.

- Repairs must relate directly to wear and tear or other damage that happened as a result of you renting out the property.
- Replacing an entire structure like a roof when only part of it is damaged or renovating a bathroom is classified as Top 10 tips to help rental property owners avoid common tax mistakes an improvement and not immediately deductible.

Claiming borrowing expenses right.

- If your borrowing expenses are over \$100, the deduction is spread over five years.

Claiming interest on your loan.

- You can claim interest as a deduction if you take out a loan for your rental property

Getting construction cost right.

- You can claim certain building costs, including extensions, alterations and structural improvements as capital works deductions.

Getting your capital gains right when selling.

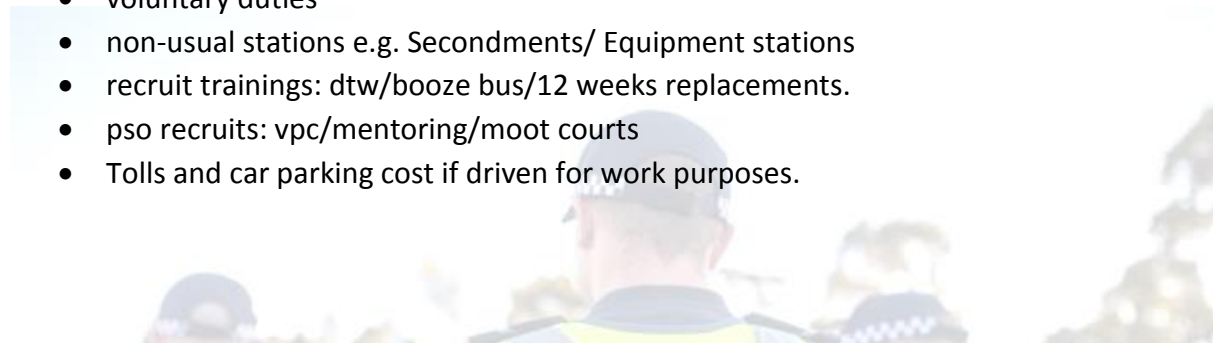
- When you sell your rental property, you will make either a capital gain or a capital loss. This is the difference between what it cost you to buy and improve the property, and what you receive when you sell it

Traveling Expenses

Car Expenses that can be claimed:

Following are the travels made by police officers:

- drive between two or more different stations
- travel to courts
- drive to crime scenes
- drive to meetings
- drive to trainings e.g. taking charge, FIC/DIC/Courses
- voluntary duties
- non-usual stations e.g. Secondments/ Equipment stations
- recruit trainings: dtw/booze bus/12 weeks replacements.
- pso recruits: vpc/mentoring/moot courts
- Tolls and car parking cost if driven for work purposes.



Medicare Levy Care/ Medicare Levy Surcharge

Medicare gives Australian residents access to health care. It is partly funded by the Medicare levy, which is 2% of your taxable income. You pay a Medicare levy in addition to the tax you pay on your taxable income.

You may get a reduction or exemption from paying the Medicare levy. Your Medicare levy is reduced if your taxable income is below a certain threshold. In some cases, you may not have to pay this levy at all. The reduction or exemption will be determined from the information that you provide in your tax return.

The Medicare levy surcharge (MLS) is levied on Australian taxpayers who do not have an appropriate level of private hospital insurance and who earn above a certain income.

It is designed to encourage individuals to take out private hospital cover, and where possible, to use the private hospital system to reduce demand on the public Medicare system.

The MLS is payable in addition to the Medicare levy.

We use a special definition of income (called income for MLS purposes) to determine whether you are liable to pay the MLS, and the rate you will have to pay. This is different to your taxable income.

The base income threshold (under which you are not liable to pay the MLS) is \$90,000 for singles and \$180,000 for families.

Medicare levy surcharge income threshold tables

Table 2: MLS income thresholds for 2014–15, 2015–16, 2016–17 and 2017–18

	Base tier	Tier 1	Tier 2	Tier 3
Single threshold	\$90,000 or less	\$90,001 – \$105,000	\$105,001 – \$140,000	\$140,001 or more
Family threshold	\$180,000 or less	\$180,001 – \$210,000	\$210,001 – \$280,000	\$280,001 or more
Medicare levy surcharge	0%	1%	1.25%	1.5%

Note: The family income threshold is increased by \$1,500 for each Medicare levy surcharge dependent child after the first child.

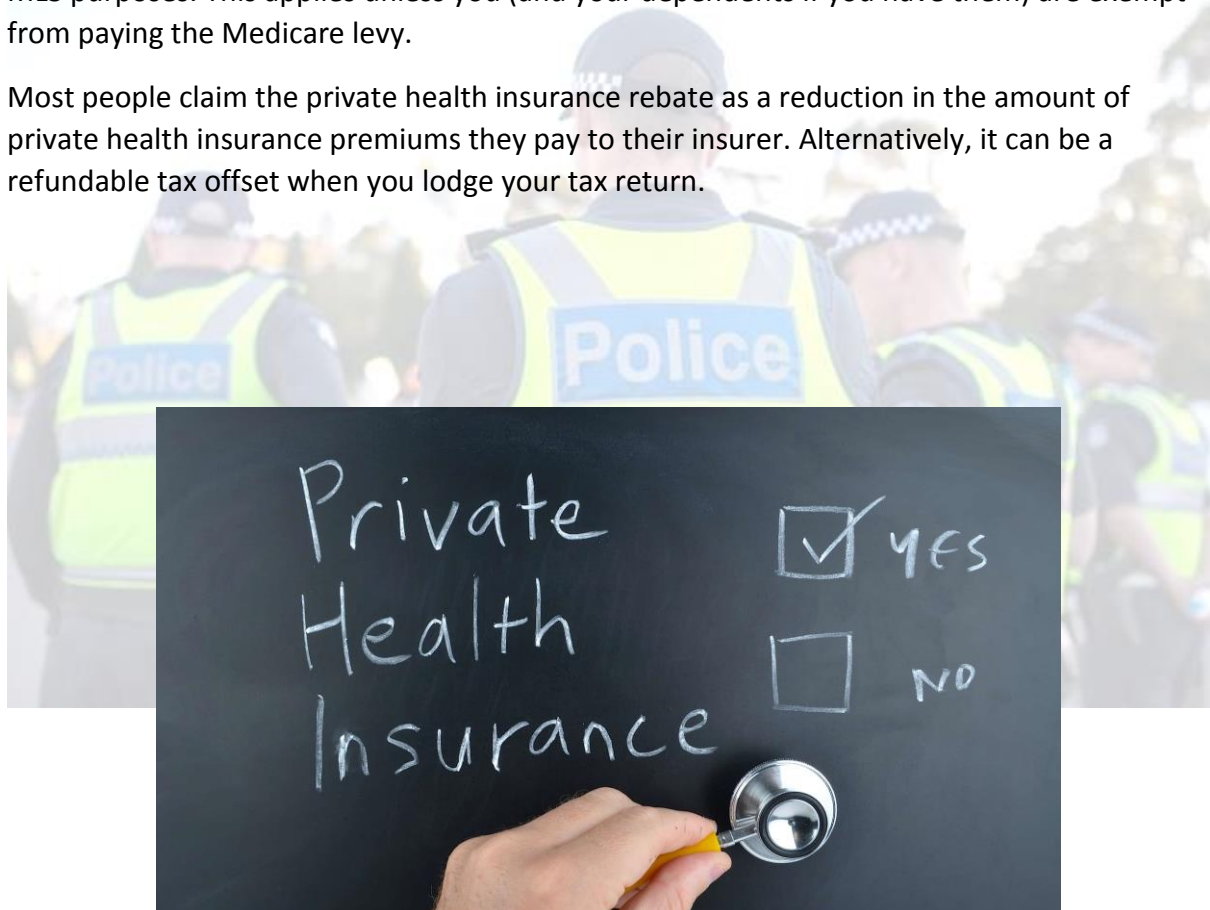
Private Health Insurance

The private health insurance rebate is an amount the government contributes towards the cost of your private hospital health insurance premiums.

This rebate is income tested, which means your eligibility to receive it depends on your income. If you have a higher income, your rebate entitlement may be reduced, or you may not be entitled to any rebate at all.

If you or your family do not have an appropriate level of private hospital insurance cover, and your income for Medicare levy surcharge (MLS) purposes is above a certain threshold, you will be required to pay the MLS. The rate of MLS you pay depends on your income for MLS purposes. This applies unless you (and your dependents if you have them) are exempt from paying the Medicare levy.

Most people claim the private health insurance rebate as a reduction in the amount of private health insurance premiums they pay to their insurer. Alternatively, it can be a refundable tax offset when you lodge your tax return.



Rental Properties



Many of the police officers own

Rental properties. Your borrowing expenses

The major borrowing cost for your investment property will usually be the interest on the loan you used to buy it or to finance renovations or major repairs.

There can also be associated borrowing expenses besides interest, such as:

- Loan establishment fees
- Ongoing loan fees
- Mortgage broker fees
- The cost of preparing and filing mortgage documents (e.g. by a solicitor)
- Lenders mortgage insurance

Your property management costs

Investment property management costs can include expenses such as:

- Advertising for tenants
- Council rates
- Insurance
- Property management fees
- Accounting/tax agent fees
- Land tax
- Body corporate fees and charges (for units/apartments)

Your repair and maintenance costs

Investment property expenses are considered repairs if they involve a replacement or renewal of a broken or worn out part while (or after) the property is rented to tenants. For example, replacing the following items:

- Damaged guttering
- Broken light fittings, tiles or windows

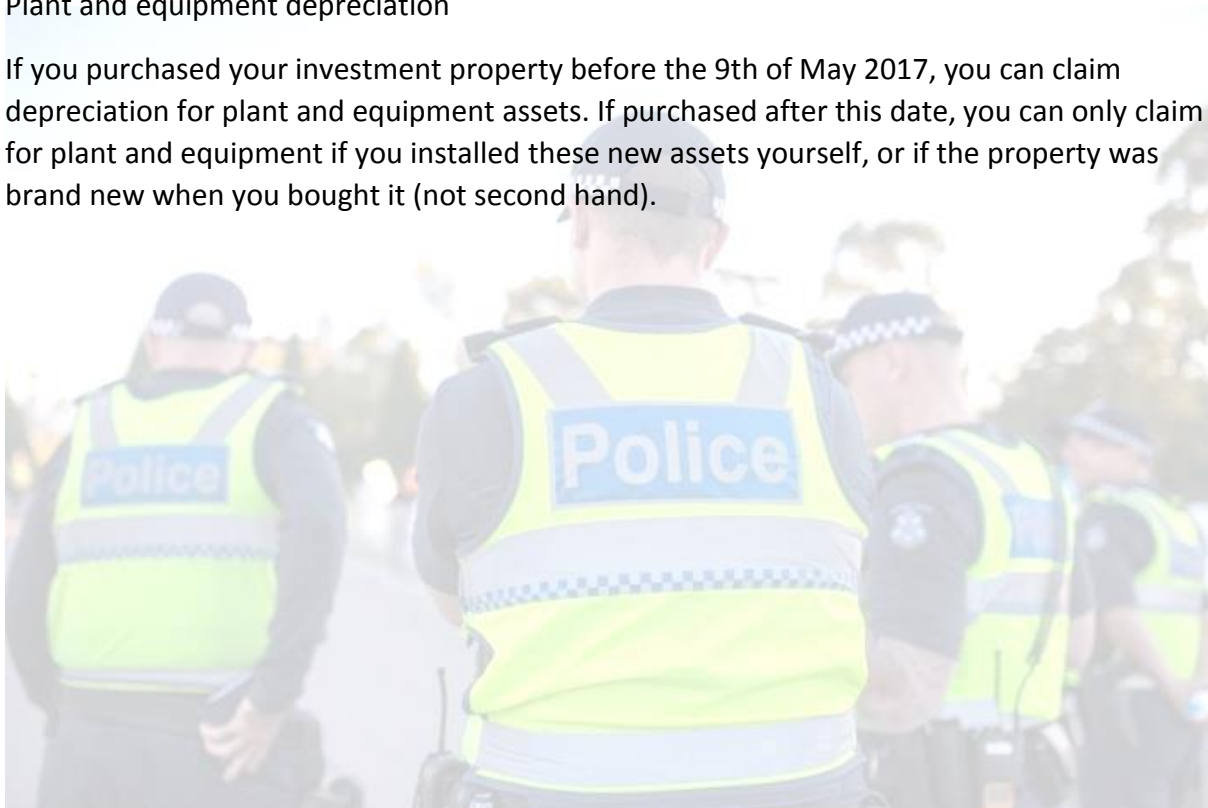
- Electrical appliances or machinery
- Tap washers and fittings

Maintenance is preventing or fixing deterioration. For example:

- Painting
- Cleaning
- Gardening and lawn mowing
- Pest control

Plant and equipment depreciation

If you purchased your investment property before the 9th of May 2017, you can claim depreciation for plant and equipment assets. If purchased after this date, you can only claim for plant and equipment if you installed these new assets yourself, or if the property was brand new when you bought it (not second hand).



Tax Planning/ Strategies

- Making Deductible Superannuation Contributions

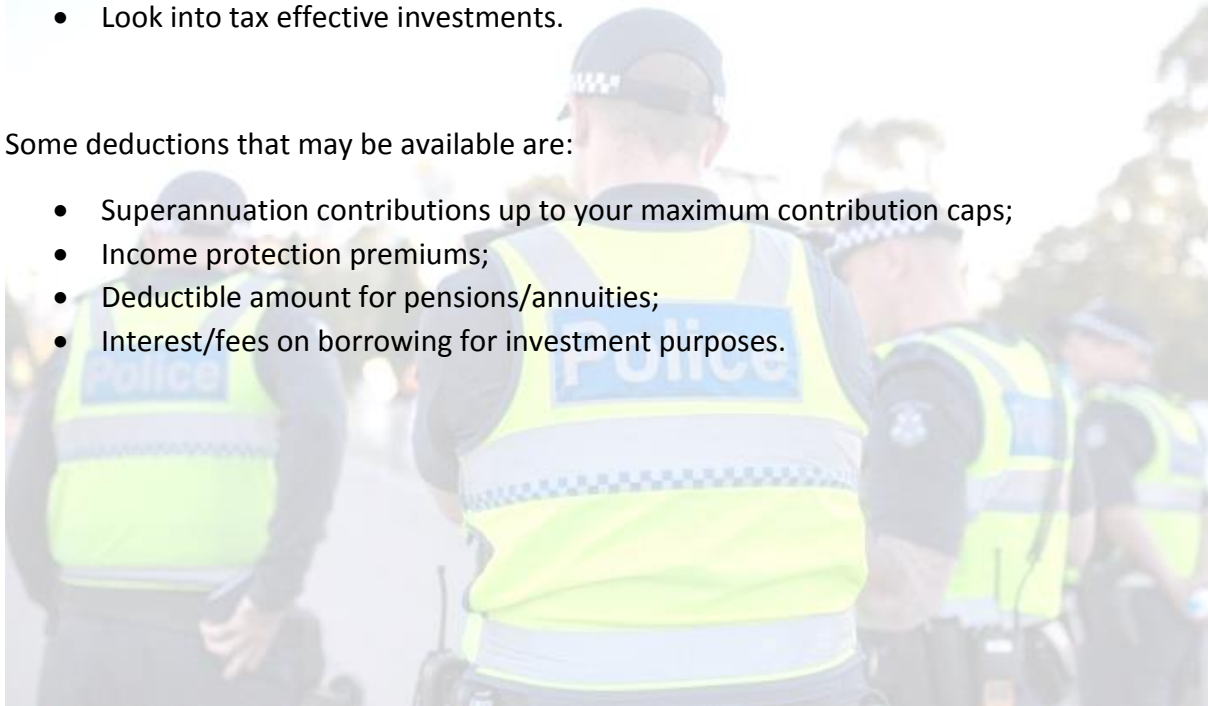
This can be done either by a salary sacrifice arrangement, (if an employee) or claimed as a tax deduction by a self-employed person. As your superannuation fund only pays 15% tax on the contribution you have effectively shifted a portion of your business profits into a lower taxed environment.

There are limits however on the amounts for which you can contribute and claim a deduction.

- Take as many deductions as you are legally able;
- Look into tax effective investments.

Some deductions that may be available are:

- Superannuation contributions up to your maximum contribution caps;
- Income protection premiums;
- Deductible amount for pensions/annuities;
- Interest/fees on borrowing for investment purposes.



Capital Gain Tax

When you sell an asset, whether as part of your business or in a personal capacity, it's very easy to forget that there will probably be tax consequences. Maybe you've sold some shares, or an investment property. Maybe your business has sold an office building or a valuable piece of plant. Maybe you're looking at a life change and after building up your business, you'd like to sell it and do something else.

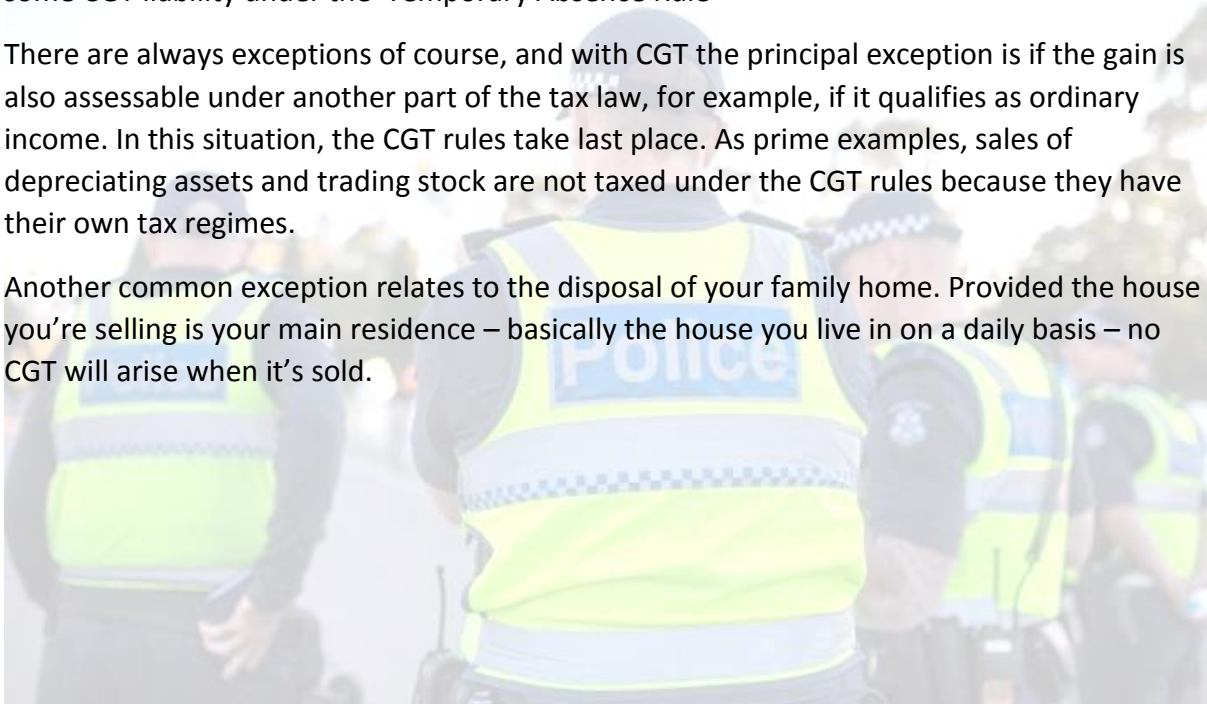
Property is exempt from capital gains tax if purchased before 20 September 1985.

You can avoid paying CGT if you sell a dwelling that's considered your main place of residence.

If you have to move out of your home and choose to rent it out, you may be exempt from some CGT liability under the 'Temporary Absence Rule

There are always exceptions of course, and with CGT the principal exception is if the gain is also assessable under another part of the tax law, for example, if it qualifies as ordinary income. In this situation, the CGT rules take last place. As prime examples, sales of depreciating assets and trading stock are not taxed under the CGT rules because they have their own tax regimes.

Another common exception relates to the disposal of your family home. Provided the house you're selling is your main residence – basically the house you live in on a daily basis – no CGT will arise when it's sold.



My Gov (shocking News)



You are on your own, dealing with the ATO if you go direct to their online tax system.

It doesn't help you much with Police Officers tax deductions either.

You have to use the government's myGov tax portal and enter all your details there

The ATO's job is to collect taxes, not to help Police Officers boost their refund. We want to make Tax as stress-free as possible using our tax services – without our clients having to worry about concerns of poor MyGov tax refunds.

The solution is simple – Leave the ATO to Police tax specialists. The ATO says Australians lodge 74% of tax returns with a tax agent rather than using MyGovTax.

This short report covers the following:

1. MyGovTax Mistakes
2. MyGov Tax Return vs Registered Tax Agent: Comparing the Pros and Cons
3. The most 12 common MyGov Tax mistakes
4. ATO Data matching watchdog
5. Your Privacy & Potential ATO Audits
6. ATO myGov scam site tricking victims
7. Final remarks about ATO myGov

This means only 26% of all Australian taxpayers trust the MyGov tax system with their tax preparation and lodgement. The deadline to lodge your tax return is 31 October each year. If you complete your tax yourself before the 7th August it's possible that no all your employer information, bank interest and government agencies will be pre-filled by this date. Which could mean that you end up lodging an incomplete and inaccurate tax return that costs your money and headaches with the ATO.

1. MyGov Tax Mistakes

70% of myGov users are making many mistakes potentially costing them many hundreds of dollars in poor refunds.

The Australian Taxation Office has supposedly introduced a simple tool for individuals to lodge

their own tax return electronically for free – myGov.

The ATO proudly boasts that over 2,000,000 tax returns get lodged via this system, r. MyGov can be very handy, its supposedly a well-developed system for individuals and includes prefilled information from several government departments, employers, banks, and investment companies.

Unfortunately, many individuals do not have the necessary knowledge to prepare their tax return themselves correctly, and a recent survey showed 70% of myGov users were making mistakes. The most common errors made include putting income into incorrect labels, missing deductions they were entitled to, incorrectly claiming private expenses as deductions, or failing to claim eligible tax offsets, they were entitled to. The most common consequence of these mistakes are that taxpayers do not pay the correct amount of tax and have to have their tax return amended and corrected.

To avoid this situation, individuals should carefully read and follow the ATO myGov instructions

when preparing their own tax return, use Tax Help Volunteers service (if they are eligible) or use the services of an experienced Registered Tax Agent.

2. MyGov Tax Return vs Registered Tax Agent:

Comparing the Pros and Cons.

Is myGov the best plan for your tax return this year? Let's have a look.

First off, let's explain what MyGov is? Well, the ATO has an online tool called my Tax, which is a tax return that resides inside the myGov government web portal. It is one of many ways you can choose to get your taxes done. To do your tax return at myGov, you

need to set up a myGov account and enter all your personal details on the Government online system. Then you choose the ATO option and enter more details there. Finally, you can start a tax return and enter your annual tax details, including income and deductions plus answer a lot of other questions.

On the other hand, using a Register Tax Agent is the most popular by taxpayers in Australia, Register Tax Agents can help you with specific tax deductions for your occupation that the MyGov system won't prompt you with.

Register Tax Agent		ATO myGov / myTax	
The Good	The Bad	The Good	The Bad
1. Prefill can save time, same as ATO 2. No appointments 3. Online system with friendly support from trained Tax professionals. 4. Specific Job-based deduction list to boost your refund 5. Compare deductions from last year, so you won't forget 6. Includes professional help responding to ATO issues 7. Lower fees than most agents, plus it's tax-deductible 8. Tax Agents check the return for errors and extra deductions to boost your refund further, if possible	1. None, really – If you are a tax accountant yourself, but make sure they understand your occupation	1. ATO prefill can save time 2. No appointments 3. Online system 4. No fees	1. You are on your own, dealing with the ATO 2. Doesn't help you much with deductions 3. You have to use the government's myGov tax portal and enter all your details there 4. The ATO's job is to collect taxes, not boost your refund 5. Prefill may not be complete until 7th August each year.

3.The most 12 common MyGov Tax mistakes

The 12 most common MyGov mistakes Police Officers make doing their own tax online that potentially

will get your tax return 'red flagged' by the ATO:

1. You haven't declared all of your Nursing income.
2. You have claimed all 'receipt-less' Police Officers tax deductions to the max.
3. You are claiming substantially more than your Nursing peers.
4. You have an existing ATO or other government debt.
5. You haven't updated your personal details.

6. Your Hospital hasn't submitted your PAYG to the ATO.
7. You have old overdue Nursing tax returns.
8. You've haven't declared a capital gain.
9. You haven't included your spouse, or their name is wrong.
10. You forgot to include bank interest.
11. Not calculating you Medicare liability if yes/No box not ticked correctly
12. Missing out on rebates that you don't know about.

4.ATO Data matching watchdog

The ATO's data matching which is designed to catch Police Officers who are wrong does might

catch up with you sometime in the future!

Matching external data with our own helps us to ensure that people and businesses comply with their tax and super tax obligations. It also helps us to detect fraud against the Commonwealth.

Data matching allows us to:

1. Pre-fill tax returns, making it easier for everyone to lodge their tax
2. Reassure the community that we protect honest people and businesses from unfair competition
3. Ensure people and businesses
 - lodge tax returns and activity statements when required to do so
 - correctly declare their income and claim offsets and other benefits
 - comply with their obligations.

It allows the ATO to detect people and businesses operating outside the tax system, detect fraud against the Commonwealth, and recover debt.

The ATO collects your data from your Police payroll section, from your banks, health insurance

funds, Superannuation accounts, and the property information your SRO (land titles sales for CGT purposes.

The ATO then compares all of this data against the information a Police Officers has provided in their tax return. If you have undeclared income, the ATO will find out easily.

5.Your Privacy & Potential ATO Audits

Your privacy is meant to be protected by the Privacy Act 1988 and the strict secrecy provisions

of the Income Tax Assessment Act 1936, the Taxation Administration Act 1953 and other tax laws. These laws prohibit ATO staff from accessing, recording or disclosing any persons' tax information except in the performance of their duties.

The Australian Tax Office (ATO) does conduct random audits of taxpayers from data captured in the MyGov tax system. You are on your own without professional help from a tax agent.

6.ATO myGov scam site tricking victims

Also, Police Officers should be aware that Scammers have long used the promise of a tax refund

via MyGov to trick you into sharing your personal information or to download malware.

Scammers have cloned the myGov website and are luring in victims with a phishing email claiming to come from Medicare asking them to update their banking details.

A warning over the scam was issued by authorities on Wednesday via Stay Smart Online website.

It begins with a phishing email designed to look as if it's from Medicare, asking the recipient "please kindly update your Electronic Funds Transfer (EFT) payments".

If you click on the link in the email you are taken to a replica of the real myGov website.

The URL for the clone site is mygovau.net. The real site is my.gov.au.

The myGov website links numerous government services such as Medicare, Centrelink, and the

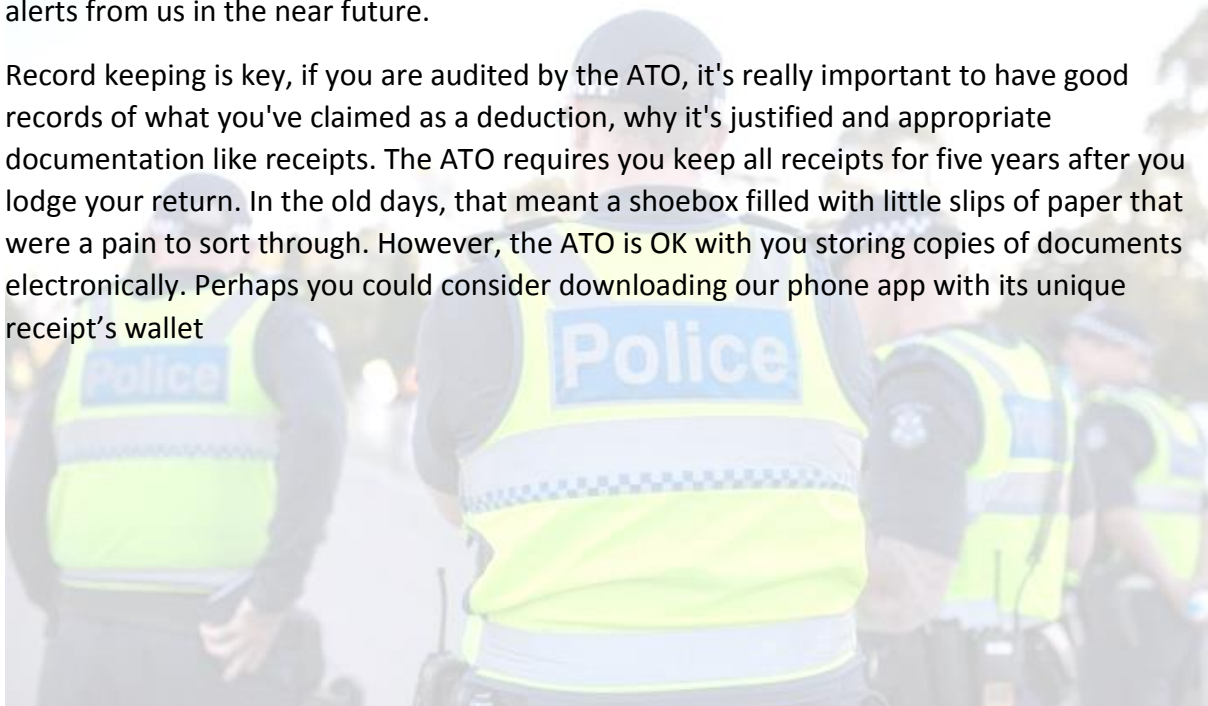
Australia Taxation Office, through the one portal

The Scam email, which has the subject line 'Important information regarding your MyGov account', includes the myGov logo and claims to be from the myGov team. Instead, the email is a phishing scam designed to steal your personal and financial information."

7.Final remarks about ATO myGov

That's some of the shocking news Police Officers need to watch out for when preparing their own tax. We take the stress out of Police Officers' tax preparation and give you peace of mind that you won't fall victim to the ATO radar system. Standby for more Tax alerts from us in the near future.

Record keeping is key, if you are audited by the ATO, it's really important to have good records of what you've claimed as a deduction, why it's justified and appropriate documentation like receipts. The ATO requires you keep all receipts for five years after you lodge your return. In the old days, that meant a shoebox filled with little slips of paper that were a pain to sort through. However, the ATO is OK with you storing copies of documents electronically. Perhaps you could consider downloading our phone app with its unique receipt's wallet



Record Keeping/ATO Substantiation



The Australian tax system relies on taxpayers self-assessing. This means you are responsible for working out how much you can declare and claim on your tax return. You also need to be able to show how you arrived at these figures – in some cases you may be required to provide written evidence.

In order to prepare an accurate tax return and support the claims you make; you need to keep careful records. The records you need to keep depend on your personal circumstances. If you are not sure, it is better to keep too many records than not enough.

This guide will provide general advice to help you identify what records you need to keep.

The importance of keeping records

Keeping good records helps you and your tax adviser:

- to provide written evidence of your income and expenses
- to help you or your tax agent prepare your tax return
- to ensure you are able to claim all your entitlements
- in case we ask you to prove the information you provided in your tax return
- reduce the risk of tax audits and adjustments
- improve communication with us
- resolve issues relating to disputed assessments or adjustments
- avoid exposure to penalties.

Other reasons for keeping good records are to:

- make best use of your tax adviser – rather than paying them to sort through a shoebox of paperwork, give your tax adviser well-prepared records so they can ensure you get what you are entitled to
- minimise the cost of managing your tax affairs.

Office Hours

Monday to Friday 8AM-5PM

Saturday 9AM-2PM

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Easier to Use

New layout means it's now even easier to find what you need to complete your return.

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